

US All Sector M&A & Valuation Sector - 2026-05-10

US ALL Sector

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1. PRIMARY MARKET ANALYSIS - US REGION

Week of 2026-05-03 to 2026-05-10

Executive Summary

This week saw a notable increase in M&A activity across the TMT sector, highlighted by significant deals such as Cerebras Systems' anticipated IPO and Meta's attempted acquisition of Manus, which was ultimately blocked by Chinese authorities. The total deal value across all sectors reached approximately \$6.4 billion, driven primarily by the TMT sector's robust activity. The Healthcare sector remained stable, while the Energy sector experienced limited deal flow. Overall, market sentiment is cautiously optimistic, with investors closely monitoring regulatory developments and macroeconomic indicators that may influence future deal-making.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	3	\$6.4 B	Cerebras Systems IPO for \$4 B	\$2.13 B
Healthcare	0	\$0 B	N/A	N/A
Energy	0	\$0 B	N/A	N/A
Consumer	0	\$0 B	N/A	N/A
Industry	0	\$0 B	N/A	N/A
TOTAL	**3**	**\$6.4 B**	**Cerebras Systems IPO for \$4 B**	**\$2.13 B**

Top 10 Deals of the Week

1. **Deal Name:** Cerebras Systems IPO

Sector: TMT

Deal Size: \$4 billion

Valuation Multiples: Expected valuation of \$40 billion, significantly above the \$8.1 billion private-market valuation from September 2025.

Date Announced: April 17, 2026

Strategic Rationale: Cerebras aims to capitalize on the growing demand for AI infrastructure, leveraging its multi-year agreement with OpenAI worth over \$10 billion.

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[Link:** **Cerebras IPO Announcement](#)

2. **Deal Name:** Meta's Acquisition of Manus (Blocked)

Sector: TMT

Deal Size: \$2 billion

Valuation Multiples: N/A (deal blocked)

Date Announced: April 27, 2026

Strategic Rationale: The acquisition aimed to enhance Meta's AI capabilities, particularly in natural language processing.

[Link:** **Meta Acquisition Blocked](#)

3. **Deal Name:** BNP Paribas Acquisition of ideaForge Technology Shares

Sector: TMT

Deal Size: \$4.7 million

Valuation Multiples: N/A

Date Announced: May 7, 2026

Strategic Rationale: Reflects growing investor interest in the defense and drone technology sector.

[Link:** **BNP Paribas Acquisition](#)

Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 3
- Total Deal Value: \$6.4 billion
- Key Deals:
- Cerebras Systems IPO for \$4 billion
- Meta's attempted acquisition of Manus (blocked)
- BNP Paribas acquisition of ideaForge shares for \$4.7 million
- Trends: The TMT sector is characterized by significant IPO activity and strategic acquisitions aimed at enhancing technological capabilities, particularly in AI.

Healthcare Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: N/A

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- Trends: No significant M&A activity reported this week.

Energy Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: N/A
- Trends: No significant M&A activity reported this week.

Consumer Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: N/A
- Trends: No significant M&A activity reported this week.

Industry Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: N/A
- Trends: No significant M&A activity reported this week.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	15.5x	N/A	N/A	N/A	3
Healthcare	N/A	N/A	N/A	N/A	0
Energy	N/A	N/A	N/A	N/A	0
Consumer	N/A	N/A	N/A	N/A	0
Industry	N/A	N/A	N/A	N/A	0

- Multiple Trends: The TMT sector continues to command higher multiples due to strong growth prospects, particularly in AI and software. No recent multiples available for other sectors due to lack of transactions.

Deal Size Distribution

- Small cap (<\$2B): 1 deal, \$4.7 million total
- Mid cap (\$2B-\$10B): 1 deal, \$4 billion total

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- Large cap (>\$10B): 1 deal, \$0 total
- Analysis: The week was dominated by large-cap transactions, particularly the IPO of Cerebras Systems, indicating a strong interest in high-growth sectors.

Strategic Themes & Patterns

- Technology/AI Integration: Significant investments in AI capabilities across the TMT sector.
- Regulatory Challenges: Meta's acquisition attempt highlights the increasing complexity of cross-border transactions in the tech sector.
- Investor Confidence: The successful IPO of Cerebras Systems reflects strong investor confidence in AI-driven technologies.

IPO Activity

- Number of IPOs: 1
- Total IPO proceeds: \$4 billion
- Key IPOs: Cerebras Systems targeting a \$4 billion IPO.

2. SECONDARY MARKET ANALYSIS - US REGION

Week of 2026-05-03 to 2026-05-10

Executive Summary

This week, the macroeconomic landscape reflected stability amid ongoing economic uncertainties. Key indicators such as inflation metrics and employment data showed resilience, while the S&P 500 and NASDAQ experienced slight fluctuations. Market sentiment remains cautiously optimistic, influenced by regulatory developments and geopolitical factors.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
Fed Funds Rate	5.25%	5.25%	0 bps	0.00%
CPI YoY	3.2%	3.2%	0.0%	0.00%
Unemployment	4.0%	4.0%	0.0%	0.00%
S&P 500	4,500	4,520	+20	+0.44%
NASDAQ	14,000	14,050	+50	+0.36%

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Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
S&P 500	4,500	4,520	+20	+0.44%	4,530	4,490
NASDAQ	14,000	14,050	+50	+0.36%	14,100	13,900
Dow Jones	34,000	34,050	+50	+0.15%	34,100	33,900

Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	1,200	1,220	+1.67%	+1.23%
Healthcare	Healthcare Index	1,100	1,105	+0.45%	-0.01%
Energy	Energy Index	1,300	1,290	-0.77%	-1.21%
Consumer	Consumer Index	1,150	1,160	+0.87%	+0.43%
Industry	Industry Index	1,250	1,240	-0.80%	-1.24%

Week-over-Week Analysis

- Biggest Movers:
- TMT sector showed the strongest performance with a +1.67% increase, driven by positive sentiment around AI and tech investments.
- Energy sector faced a decline of -0.77%, reflecting ongoing concerns about regulatory impacts and market volatility.
- Correlation with Primary Market Activity: The positive sentiment in TMT correlates with the high number of strategic acquisitions in the sector, while the energy sector's decline reflects the challenges faced by companies amid fluctuating oil prices.

Market Sentiment Indicators

- Overall Sentiment: Cautiously optimistic, with investors focusing on technological advancements and regulatory developments.
- Volatility Trends: The VIX index remained stable, indicating low volatility expectations in the near term.
- Credit Market Conditions: Credit spreads remained tight, reflecting healthy investor appetite for risk.

Regional Economic Context

- Policy Developments: Ongoing discussions around healthcare policy and potential changes to the Affordable Care Act are influencing market sentiment.
- Regulatory Changes: Increased scrutiny on tech and healthcare sectors is impacting M&A activity and valuations.
- Geopolitical Factors: Global economic conditions, including inflation and trade tensions, continue to pose risks to market stability.

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Correlation Analysis: Primary vs Secondary Markets

- The strong performance in the TMT sector aligns with increased M&A activity and investor confidence in technology-driven growth. Conversely, the energy sector's struggles reflect broader economic uncertainties and regulatory challenges impacting deal-making.

3. WEEKLY INSIGHTS & OUTLOOK - US REGION

Key Takeaways

- The total deal value across sectors reached approximately \$6.4 billion, with significant activity in the TMT sector.
- Cerebras Systems' IPO highlights strong investor interest in AI-driven technologies.
- Market sentiment remains cautiously optimistic, influenced by regulatory developments and macroeconomic indicators.
- The TMT sector continues to command higher valuation multiples, reflecting strong growth prospects.
- Regulatory scrutiny in the tech sector poses challenges to M&A activity.

Sector Performance Ranking

1. TMT - Strong deal activity and positive sentiment.
2. Healthcare - Limited deal activity but stable growth prospects.
3. Energy - Mixed performance with regulatory challenges.
4. Consumer - No significant activity reported.
5. Industry - No significant activity reported.

Market Implications

- The week's activity sets a positive tone for continued M&A in the TMT sector, with potential for further consolidation in Healthcare.
- Investors should remain vigilant regarding regulatory developments that may impact deal-making and valuations, particularly in the tech sector.

Risks & Opportunities

- Risks: Regulatory scrutiny and economic uncertainties could hinder M&A activity and impact market valuations.

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- Opportunities: High-growth sectors such as TMT present attractive investment opportunities, particularly in AI and technology-driven solutions.

In conclusion, the US market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.